DENVER
HUMAN SERVICES

Attachment 7– Sample Framework Agreement & Information Technology Provisions

FRAMEWORK AGREEMENT

THIS FRAMEWORK AGREEMENT is entered into between the **CITY AND COUNTY OF DENVER**, a municipal corporation of the State of Colorado (the "City"), and _____, a _____ whose address is _____ (the "Contractor," and together with the City, the "Parties" and each individually a "Party"), for the provision of _____. In consideration of the mutual covenants set forth in this Agreement, the receipt and sufficiency of which the Parties acknowledge, the Parties agree as follows:

1. DEFINITIONS

1.1. "Acceptance" (and "Accept" and "Accepted") means the City's written notice of acceptance of a Deliverable. No Deliverable shall be deemed Accepted by payment of an invoice, passage of time, use, or any other act or omission of the City, except as expressly stated in this Agreement.

1.2. "Business Day" means any day other than a Saturday, Sunday, or legal holiday observed by the City.

1.3. "City Data" means all data, information, documents, records, and materials in any format that: (i) originate from or are owned by the City; (ii) are provided by the City to the Contractor; (iii) are accessed by the Contractor from City systems, databases, or repositories; (iv) are created, developed, compiled, generated, or derived by the Contractor using, incorporating, or based upon any City-originating data; (v) contain or reference any City-originating data; or (vi) are maintained, processed, stored, or transmitted by the Contractor in connection with this Agreement and relate to City operations, services, residents, employees, or business. City Data includes all reports, analyses, summaries, compilations, derivatives, and other work products created by the Contractor that incorporate or are based upon any of the foregoing data.

1.4. "Deliverables" means the specific outputs and outcomes produced or delivered by the Contractor as a result of the Work, including On-Premise Software, SaaS, Goods (including replacements, updates, and upgrades), custom software and source code, documentation, training materials, reports, analyses, designs, specifications, configurations, and all other tangible and intangible items required under this Agreement or reasonably necessary to fulfill the Contractor's obligations hereunder. Deliverables do not include: (i) the Services themselves; or (ii) the Contractor's pre-existing intellectual property or third-party components, except to the extent expressly licensed or assigned to the City under this Agreement.

1.5. "Effective Date" means the date on which this Agreement is approved and signed by the City as shown on the City's signature page.

1.6. "Exhibits" means the exhibits and attachments included with this Agreement.

1.7. “Goods” means any movable, tangible items, including equipment, hardware, components, and peripherals, acquired, produced, or delivered by the Contractor under this Agreement, including any such items acquired, produced, or delivered in connection with the Services.

1.8. “On-Premise Software” means software that the Contractor provides for the City’s use that is installed and operated on City premises. For the avoidance of doubt, On-Premise Software does not include SaaS, though On-Premise Software may interface with SaaS.

1.9. “Personally Identifiable Information” or “PII” means personally identifiable information including, without limitation, any information maintained by the City about an individual that can be used to distinguish or trace an individual's identity, such as name, social security number, date and place of birth, mother's maiden name, or biometric records. PII also includes any other information that is linked or linkable to an individual, such as medical, educational, financial, and employment information. PII includes, but is not limited to, all information defined as "personally identifiable information" in Colo. Rev. Stat. §§ 24-72-501(2), 24-74-102(1), and 24-73-101(4)(b). "PII" shall also mean "personal information" as defined in Colo. Rev. Stat. § 24-73-103(1)(g).

1.10. “SaaS” means a software-as-a-service that the Contractor hosts (directly or indirectly) for the City’s use. For the avoidance of doubt, SaaS does not include Services or On-Premise Software.

1.11. “Security Breach” means any event that compromises or reasonably could compromise the security, confidentiality, integrity, or availability of City Data, including but not limited to: (a) unauthorized or unlawful acquisition, access, use, disclosure, alteration, or destruction of City Data; or (b) loss, theft, or other compromise of systems or media containing City Data.

1.12. “Service(s)” means the technology-related professional services performed by the Contractor under this Agreement as specified in the applicable Exhibit or Task Order, including implementation, configuration, maintenance, support, and training services incidental thereto.

1.13. “Specifications” means the technical and functional specifications for the Deliverables included or referenced in an Exhibit.

1.14. “Subcontractor” means any third party engaged by the Contractor to aid in performance of the Work.

1.15. “Task Order” means a document issued in accordance with this Agreement that specifically describes additional Work to be performed.

1.16. "Work" means all Services performed, Goods delivered, On-Premise Software provided, and SaaS made available by the Contractor pursuant to this Agreement, together with all other efforts, labor, and activities required to fulfill the Contractor’s obligations hereunder, whether specifically enumerated or reasonably implied.

1.17. "Work Product" means the tangible and intangible results of the Work created, conceived, developed, or reduced to practice by the Contractor (alone or jointly with others) specifically for the City under this Agreement, whether finished or unfinished, including without limitation custom software and source code, reports, designs, analyses, specifications, documentation, data compilations, ideas, concepts, and know-how. Work Product does not include the Contractor's pre-existing intellectual property or third-party materials. Work Product is a subset of the Deliverables.

2. SCOPE OF WORK AND PERFORMANCE STANDARDS

2.1. **Coordination with the City.** The Contractor shall fully coordinate all Work performed under this Agreement with the City's Chief Information Officer ("CIO"); with other personnel formally designated by the Department of Technology Services ("TS"); or, if applicable, with a representative from another City agency, as may be expressly designated by the CIO to act on behalf of the City for purposes of this Agreement. If a third party is designated by the CIO to serve as a liaison or coordinating entity on behalf of the City, the Contractor shall also coordinate its Work with such third party in the same manner and to the same extent as it would with City personnel.

2.2. **Contractor Performance Standards.** The Contractor shall diligently perform the Work and shall provide, deliver, and maintain all Deliverables specified in this Agreement. The City shall have no obligation to compensate the Contractor for any Work not expressly authorized under this Agreement. All Work shall be provided and performed in accordance with this Agreement, including any applicable Specifications. The Contractor represents and warrants that it possesses the necessary expertise, capabilities, and resources to provide the Work required by this Agreement. The Contractor shall perform all obligations with reasonable professional care, skill, training, diligence, and judgment consistent with generally accepted industry standards and practices for comparable Work, and in compliance with all applicable terms, conditions, and requirements of this Agreement.

2.3. **Key Personnel.** If an Exhibit or Task Order identifies key personnel, the Contractor shall not reassign, replace, or remove such personnel without providing the City at least thirty (30) days' prior written notice and obtaining the City's written approval, which shall not be unreasonably withheld. Replacement personnel shall possess qualifications and experience comparable to or exceeding those of the personnel being replaced. The Contractor shall provide the City with the qualifications of any proposed replacement for review prior to assignment. The departure of Key Personnel without a City-approved replacement possessing qualifications and experience comparable to or exceeding those of the departing personnel, as evaluated under this Section, shall constitute a material breach of this Agreement.

2.4. **Contractor Representations and Warranties.** The Contractor represents and warrants to the City, as of the Effective Date and continuously throughout the Term, that: (i) it is not currently debarred, suspended, or proposed for debarment by any federal, state, or local government entity; (ii) there is no pending or threatened

litigation, investigation, or proceeding that could materially impair the Contractor's ability to perform its obligations under this Agreement; (iii) it has not made and shall not make any unlawful payments, bribes, or kickbacks in connection with obtaining or performing this Agreement; (iv) all information provided to the City during the procurement process and in connection with this Agreement is accurate and complete in all material respects; (v) it is in good standing in the state of its organization and is qualified to do business in Colorado. The representations and warranties in this Section supplement, and do not limit, the warranties set forth in the Exhibits.

2.5. **Task Orders for Additional Work**

2.5.1. The City may request additional Work by issuing a Task Order. All Task Orders must be signed by both Parties and shall incorporate the rates established in the Exhibits or, with the City's prior written approval, alternative rates specifically negotiated for that Task Order. Each Task Order must specify: (i) a detailed scope, quote, or order form; (ii) completion timeline; (iii) applicable pricing structure (hourly rates or fixed fee); (iv) payment schedule; and (v) a "not to exceed" amount. Task Orders shall be construed to be in addition to, supplementary to, and consistent with the provisions of this Agreement. Task Orders may be amended through a written instrument jointly prepared and signed by authorized representatives of both Parties.

2.5.2. The City maintains sole discretion regarding the execution of Task Orders and is not obligated to issue any minimum number. The Contractor is not entitled to compensation for Work not expressly authorized by this Agreement or a properly executed Task Order. Expiration or termination of this Agreement automatically terminates all associated Task Orders unless the Parties explicitly agree otherwise in writing. The City may also terminate individual Task Orders according to the termination provisions in this Agreement.

3. **AGREEMENT TERM AND RENEWAL**

3.1. **Term.** This Agreement shall commence on the later of _____ or the Effective Date (the “Commencement Date”) and shall expire on _____ (the “Expiration Date”), unless earlier terminated in accordance with this Agreement. The period from the Commencement Date through the Expiration Date is the “Term.”

3.2. **Limited Extension for Completion of Authorized Work.** If, at the expiration of the Term, the Contractor is performing Work pursuant to a Task Order or other written authorization that the Parties reasonably expected would be completed prior to expiration, the City may, in its sole discretion, provide written authorization for the Contractor to complete such Work. Upon the City's written authorization, the Term shall extend for the period specified in the City's authorization to enable completion of the specifically identified Work and submission and processing of final invoices. Any such extension shall not constitute authorization for any new Work or general renewal of this Agreement. The City may terminate any such extension in accordance with the termination provisions herein.

3.3. **Holdover Extension.** If a successor contract or an amendment extending this Agreement has not been finalized before the Expiration Date, the City may, in its sole discretion and upon written notice to the Contractor, extend the Term on a month-to-month basis at the rates then in effect for a period not to exceed two (2) months, solely to maintain continuity of the Work pending execution of the successor contract or amendment. Any such extension is subject to the appropriation of funds, shall be governed by the terms of this Agreement in effect on the Expiration Date, and shall terminate automatically upon execution of the successor contract or amendment. A Holdover Extension does not authorize any new Work or constitute a general renewal of this Agreement.

3.4. **Timely Renewal and Extension Documentation.** To facilitate the City's contract amendment process and ensure continuity of services, the Contractor shall provide the City with all required order forms, pricing information, and renewal documentation no later than one hundred twenty (120) days prior to the expiration of the Term. The Contractor shall negotiate any extension or renewal of this Agreement in good faith and may not introduce changes to the legal terms and conditions of this Agreement through order forms, quotes, or other renewal documentation. If the Contractor does not intend to renew or extend the Term, the Contractor shall provide written notice to the City no later than one hundred eighty (180) days prior to the expiration of the Term. If the Contractor fails to provide the documentation required under this Section within the specified timeframes: (i) the City may require the Contractor to continue performance at current rates for up to ninety (90) days beyond the Expiration Date to facilitate transition; and (ii) the Contractor's failure to provide timely non-renewal notice shall constitute a material breach of this Agreement.

4. COMPENSATION AND PAYMENT

4.1. **Fees.** The City shall pay, and the Contractor shall accept as the sole compensation for Work rendered and costs incurred under this Agreement the fees described in the attached Exhibits. Amounts billed may not exceed rates set forth in the Exhibits and shall be made in accordance with any agreed upon payment milestones.

4.2. **Reimbursement Expenses.** There are no reimbursable expenses under this Agreement. The Contractor's fees as set forth in the Exhibits are inclusive of all costs incurred in performing its obligations hereunder.

4.3. **Invoicing.** The Contractor must submit an invoice which shall include the City contract number, clear identification of the Work that has been completed, and other information reasonably requested by the City. Payment on all uncontested amounts shall be made in accordance with the City's Prompt Payment Ordinance, D.R.M.C. §§ 20-107 to -118. To the extent any exhibit, attachment, or addendum to this Agreement, including any document governing the scope, ordering, or delivery of Work, sets forth additional invoicing or billing requirements, such requirements shall supplement the foregoing; provided, however, that no such additional requirements shall modify or conflict with the City's obligations under the Prompt Payment Ordinance.

4.4. **Maximum Agreement Amount**

4.4.1. Notwithstanding any other provision of this Agreement, the City's total financial obligation shall not exceed _____ Dollars ($_____) (the "Maximum Agreement Amount"). The City has no obligation to execute any amendments or authorizations for additional Work beyond that specifically described in the attached Exhibits. Any Work performed by the Contractor that exceeds the scope defined in the attached Exhibits, or that would cause the Maximum Agreement Amount to be exceeded, shall be performed at the Contractor's sole risk and expense and without authorization under this Agreement. The Maximum Agreement Amount includes all fees, costs, expenses, and other charges that may be incurred by the Contractor in fulfilling its obligations hereunder.

4.4.2. The City's payment obligation, whether direct or contingent, extends only to funds appropriated annually by the Denver City Council, paid into the Treasury of the City, and encumbered for the purpose of this Agreement. The City does not by this Agreement irrevocably pledge present cash reserves for payment or performance in future fiscal years. This Agreement does not and is not intended to create a multiple-fiscal year direct or indirect debt or financial obligation of the City.

4.5. **Taxes, Charges, and Penalties.** The City shall not be liable for the payment of taxes, late charges, or penalties of any nature other than the compensation stated herein, except for any additional amounts which the City may be required to pay under D.R.M.C. §§ 20-107 to -118.

5. **CONTRACTOR STATUS AND SUBCONTRACTING**

5.1. **Independent Status.** The Contractor is an independent contractor retained to perform professional or technical services for limited periods of time. Neither the Contractor nor any of its employees are employees or officers of the City under Chapter 18 of the Denver Revised Municipal Code, or for any purpose whatsoever. Nothing contained in this Agreement shall be construed as creating any agency, partnership, joint venture, or other form of joint enterprise, or employment relationship between the Parties.

5.2. **Assignment and Subcontracting**. The Contractor shall not sell, transfer, assign, subcontract performance obligations, or otherwise dispose of this Agreement or any portion thereof, including any right, title, or interest therein, without the City's prior written consent. The City shall not unreasonably withhold approval of an assignment when the Contractor is in full compliance with this Agreement and the proposed assignee possesses, as reasonably determined by the City, sufficient business experience, aptitude, and financial resources to perform its obligations under this Agreement. The City may, at its reasonable discretion, approve the assignment, subcontract, or transfer in writing, deny it, or refer the matter to the City's governing bodies for approval. City approval of an assignment need not take the form of a formal

amendment; written consent referencing this Agreement shall constitute sufficient authorization. Any approved assignee shall be subject to all terms and conditions of this Agreement and other supplemental contractual documents; however, no approval by the City shall obligate the City beyond the provisions of this Agreement. Any assignment or subcontracting without the City's consent shall be ineffective and void and shall constitute grounds for termination of this Agreement by the City. Should unauthorized assignment or subcontracting occur, the Contractor shall remain responsible to the City, and no contractual relationship shall be created between the City and any subcontractor or assignee. This provision shall also apply to any assignment of this Agreement due to change in ownership of the Contractor, and the Contractor shall notify the City in writing of any assignment due to change in ownership within thirty (30) days of such change.

6. **TERMINATION**

6.1. **Termination for Breach.** A breach occurs when either Party fails to perform any material obligation under this Agreement in a timely or satisfactory manner. Either Party may terminate this Agreement for material breach by providing written notice specifying the breach in reasonable detail, unless the breaching Party cures the breach within thirty (30) days after receipt of such notice. If the breach cannot be cured, termination is effective upon notice. For purposes of the City's right to terminate under this Section, "material breach" includes, without limitation, the Contractor's: (i) failure to meet any material schedule or milestone set forth in an Exhibit or Task Order; (ii) failure to maintain any insurance, license, permit, certification, or other authorization required under this Agreement; or (iii) insolvency, general assignment for the benefit of creditors, or the institution of bankruptcy, receivership, or similar proceedings not vacated or fully stayed within thirty (30) days.

6.2. **City Termination Without Cause.** The City may terminate this Agreement, or a specific Deliverable or portion of the Work under this Agreement, without cause with thirty (30) days' written notice. Upon termination without cause, the City shall pay the Contractor for: (i) all Deliverables Accepted in accordance with this Agreement and all Services satisfactorily performed through the effective date of termination; (ii) all approved, non-cancelable commitments reasonably incurred by the Contractor prior to receiving notice of termination; and (iii) the pro-rata portion of any prepaid subscription or license fees for the notice period. The City's obligation to pay non-cancelable commitments under this Section is subject to the availability of funds appropriated by the City. The City has no obligation to pay for subscription years, licensing fees, or support costs beyond the effective date of termination, and the Contractor shall refund any amounts prepaid for periods after the effective date of termination unless an Exhibit expressly references this Section and specifies otherwise.

6.3. **Immediate Termination.** The City may terminate this Agreement effective immediately upon written notice, without any notice or cure period, if: (i) the Contractor or any of its officers or employees is convicted of, pleads guilty or nolo

contendere to, or admits culpability for any offense involving bribery, kickbacks, collusive bidding, bid-rigging, antitrust violations, fraud, undue influence, theft, racketeering, extortion, or any offense of a similar nature in connection with the Contractor's business activities; (ii) a Security Breach involves actual unauthorized access to or disclosure of City Data, or the Contractor otherwise materially breaches the Information Security and Data Protection Section, provided that the Contractor's notification and remediation obligations under this Agreement remain in effect following any such termination; (iii) the Contractor's breach poses an imminent threat to public health, safety, or welfare; (iv) the Contractor abandons performance; (v) the breach is not capable of cure; or (vi) an Exhibit to this Agreement expressly designates a specific violation as a material breach for which no cure period applies. The City may also suspend performance pending investigation of any conduct described in clause (i) of this Section. If, after an immediate termination under this Section, the City determines that the grounds for immediate action did not exist, the termination shall be treated as a termination without cause under this Agreement. The City's rights under this Section are in addition to all other rights and remedies available under this Agreement.

6.4. **Termination for Public Interest or Lack of Appropriation.** If this Agreement ceases to further the public interest of the City, or if the City fails to appropriate the necessary funding to continue this Agreement, the City, in its discretion, may terminate this Agreement in whole or in part. A determination that this Agreement should be terminated in the public interest or for lack of appropriation shall not be equivalent to a City right to terminate for convenience or without cause. Upon such termination, the City shall pay the Contractor for the portion of the Work satisfactorily completed and, in the case of Deliverables, Accepted, less previous payments.

6.5. **Post-Termination Obligations.** Upon any termination or expiration of this Agreement: (i) the Contractor shall, within five (5) Business Days, deliver to the City all Work in progress, Deliverables, City property, and all documents and materials prepared under this Agreement or paid for by the City, and shall return, transfer, or destroy City Data as directed by the City in accordance with Exhibit C; (ii) the Contractor shall have no claim against the City arising from or related to termination or expiration, except for compensation expressly provided in this Agreement; and (iii) upon termination for breach, the Contractor shall additionally, at the City's request, assign to the City all of the Contractor's rights, title, and interest in any outstanding orders or subcontracts related to the terminated Work, and any costs incurred by the Contractor to cure breaches, redo Work, or otherwise remedy performance deficiencies shall be at the Contractor's sole expense and shall not increase the Maximum Agreement Amount.

7. **EXAMINATION OF RECORDS AND AUDITS.** Any authorized agent of the City, including the City Auditor or their representative, has the right to access, and the right to examine, copy and retain copies, at City's election in paper or electronic form, any pertinent

books, documents, papers and records related to the Contractor's performance pursuant to this Agreement, provision of any goods or services to the City, and any other transactions related to this Agreement. The Contractor shall cooperate with City representatives and City representatives shall be granted access to the foregoing documents and information during reasonable business hours and until the latter of three (3) years after the final payment under this Agreement or expiration of the applicable statute of limitations. When conducting an audit of this Agreement, the City Auditor shall be subject to government auditing standards issued by the United States Government Accountability Office by the Comptroller General of the United States, including with respect to disclosure of information acquired during the course of an audit. No examination of records and audits pursuant to this paragraph shall require the Contractor to make disclosures in violation of state or federal privacy laws. The Contractor shall at all times comply with D.R.M.C. § 20-276.

8. **INSURANCE**

8.1. **General Conditions.** The Contractor agrees to secure, at or before the time of execution of this Agreement, the following insurance covering all operations, goods or services provided pursuant to this Agreement. The Contractor shall keep the required insurance coverage in force at all times during the Term, including any extension thereof, and during any warranty period. The required insurance shall be underwritten by an insurer licensed or authorized to do business in Colorado and rated by A.M. Best Company as "A-VIII" or better. Each policy shall require notification to the City in the event any of the required policies be canceled or non-renewed before the expiration date thereof. Such written notice shall be sent to the parties identified in the Notices Section of this Agreement. Such notice shall reference the City contract number listed on the signature page of this Agreement. Said notice shall be sent thirty (30) days prior to such cancellation or non-renewal unless due to non-payment of premiums for which notice shall be sent ten (10) days prior. If such written notice is unavailable from the insurer, the Contractor shall provide written notice of cancellation, non-renewal and any reduction in coverage to the parties identified in the Notices Section by certified mail, return receipt requested within three (3) Business Days of such notice by its insurer(s) and referencing the City's contract number. The Contractor shall be responsible for the payment of any deductible or self-insured retention. The insurance coverages specified in this Agreement are the minimum requirements, and these requirements do not lessen or limit the liability of the Contractor. The Contractor shall maintain, at its own expense, any additional kinds or amounts of insurance that it may deem necessary to cover its obligations and liabilities under this Agreement.

8.2. **Proof of Insurance.** The Contractor may not commence Work relating to this Agreement prior to placement of coverages required under this Agreement. The Contractor certifies that the certificate of insurance attached as **Exhibit B**, preferably an ACORD form, complies with all insurance requirements of this Agreement. The City requests that the City's contract number be referenced on the certificate of insurance. The City's acceptance of a certificate of insurance or other proof of insurance that does

not comply with all insurance requirements set forth in this Agreement shall not act as a waiver of the Contractor's breach of this Agreement or of any of the City's rights or remedies under this Agreement. The City's Risk Management Office may require additional proof of insurance, including but not limited to policies and endorsements.

8.3. **Additional Insureds.** For Commercial General Liability, Auto Liability and Excess Liability/Umbrella (if required), the Contractor and Subcontractor's insurer(s) shall include the City and County of Denver, its elected and appointed officials, employees, and volunteers as additional insured.

8.4. **Waiver of Subrogation.** For all coverages required under this Agreement, with the exception of Professional Liability – if required, the Contractor's insurer shall waive subrogation rights against the City.

8.5. **Subcontractors and Subconsultants.** The Contractor shall confirm and document that all Subcontractors and subconsultants (including independent contractors, suppliers or other entities providing goods or services required by this Agreement) procure and maintain coverage as approved by the Contractor and appropriate to their respective primary business risks considering the nature and scope of services provided.

8.6. **Workers' Compensation and Employer's Liability Insurance.** The Contractor shall maintain the coverage as required by statute for each work location and shall maintain Employer's Liability insurance with limits of $100,000 per occurrence for each bodily injury claim, $100,000 per occurrence for each bodily injury caused by disease claim, and $500,000 aggregate for all bodily injuries caused by disease claims.

8.7. **Commercial General Liability.** The Contractor shall maintain a Commercial General Liability insurance policy with minimum limits of $1,000,000 for each bodily injury and property damage occurrence, $2,000,000 products and completed operations aggregate (if applicable), and $2,000,000 policy aggregate.

8.8. **Automobile Liability.** The Contractor shall maintain Automobile Liability with minimum limits of $1,000,000 combined single limit applicable to all owned, hired, and non-owned vehicles used in performing Work under this Agreement.

8.9. **Professional Liability (Errors & Omissions).** The Contractor shall maintain minimum limits of $1,000,000 per claim and $1,000,000 policy aggregate limit. The policy shall be kept in force, or a Tail policy placed, for three (3) years for all contracts except construction contracts for which the policy or Tail shall be kept in place for eight (8) years.

8.10. **Technology Errors & Omissions including Cyber Liability.** The Contractor shall maintain Technology Errors and Omissions insurance including cyber liability, network security, privacy liability and product failure coverage with minimum limits of $1,000,000 per occurrence and $1,000,000 policy aggregate. The policy shall be kept in force, or a Tail policy placed, for three (3) years.

9. **BREACH AND REMEDIES.** All rights and remedies under this Agreement are cumulative and non-exclusive, and a Party may exercise any or all available remedies concurrently or consecutively.

9.1. **City's Remedies.** If the Contractor fails to cure a breach within the applicable cure period, the City shall have all remedies listed in this Section in addition to all other remedies available under this Agreement or at law. As the City's primary monetary remedy upon termination for an uncured breach, the City shall be entitled to a refund of all prepaid fees attributable to the remaining portion of the then-current subscription, license, support, or maintenance term, calculated on a daily prorated basis from the effective date of termination and paid within thirty (30) days. The City shall not recover twice for the same prepaid amounts, and any such refund shall be credited against any other monetary recovery for the same unused period.

9.2. **Withholding, Setoff, and Recoupment.** The Contractor shall remain liable to the City for any damages sustained by the City in connection with any breach, subject to the limitations set forth in the Limitation of Liability Section. The City may withhold any payment reasonably related to a breach until the breach is cured, and may deny payment for Work not performed or improperly performed, with any such denial commensurate with the value of obligations not performed or the diminution in value to the City. The City may also setoff against any amounts due or that may become due to the Contractor any damages, costs, expenses, liens, excess procurement costs, or other sums the Contractor owes the City, including amounts the Contractor is required to refund following an audit conducted pursuant to the Examination of Records and Audits Section that reveals the Contractor has overbilled the City, materially misrepresented its performance, or otherwise obtained payment for Work not properly performed, which refunded amounts shall bear interest at the rate specified in D.R.M.C. § 20-107 to -118 from the date of overpayment. The City shall exercise any right to withhold payment within ninety (90) days of discovering the basis for withholding, except that this limitation shall not apply to withholding or setoff based on audit findings, and except that the City may withhold any amount it reasonably deems necessary to protect against loss until the exact amount of damages is determined.

9.3. **Suspend Performance.** The City may suspend the Contractor's performance with respect to all or any portion of the Work without entitling the Contractor to any adjustment in price, cost, or schedule. The Contractor shall promptly cease Work and incurring costs in accordance with the City's directive, and the City shall not be liable for costs the Contractor incurs after such suspension.

9.4. **Procure Replacement Services.** The City may procure from third parties replacement or substitute Deliverables or Services as cover, and the Contractor shall remain liable for any reasonable excess costs the City incurs. The City may offset such excess costs against any amounts due or that may become due to the Contractor.

9.5. **Demand Removal of Personnel.** The City may demand removal of any of the Contractor's employees, agents, or Subcontractors whom the City reasonably deems unqualified, unprofessional, unsuitable, or whose continued involvement the City determines to be contrary to the public interest. The Contractor shall comply within five (5) Business Days at no additional cost to the City.

9.6. **Intellectual Property Remedies.** If any Deliverable infringes, or if the City reasonably determines that any Deliverable is likely to infringe, any intellectual property right, the Contractor shall, at the City's election and the Contractor's sole expense: (i) secure for the City the right to continue using such Deliverable; (ii) replace or modify the Deliverable to render it non-infringing without material degradation of functionality; or (iii) remove the infringing Deliverable and refund to the City all amounts paid for such Deliverable, prorated over the remaining Term.

9.7. **Step-In Rights.** In the event of the Contractor's material breach, abandonment of performance, or insolvency, and to the extent necessary to maintain continuity of critical City operations, the City or its designee may, upon reasonable notice (or without notice if the circumstances present an imminent threat to public health, safety, or the security of City Data), access the Contractor's systems, tools, and environments solely to the extent required to maintain, operate, or transition the Work and the Deliverables. The Contractor shall cooperate with such access and shall not impede, disable, or restrict the City's ability to access City Data or maintain service operations during any transition period. This right is in addition to, and not in lieu of, any other right of immediate access or intervention available to the City elsewhere under this Agreement.

9.8. **Contractor's Remedies.** If the City materially breaches this Agreement and fails to cure such breach within thirty (30) days after receiving written notice specifying the breach, the Contractor may, following exhaustion of the administrative hearing process under D.R.M.C. § 56-106(b)-(f), pursue such remedies as are available at law or in equity. If the City's breach involves failure to pay undisputed amounts when due, the Contractor may suspend performance after providing an additional fifteen (15) days' written notice, and the Contractor's obligation to continue performing shall be limited to Work for which the City has paid or for which payment is not disputed. The Contractor's monetary remedies shall be limited to direct damages actually incurred and shall exclude consequential, special, incidental, or punitive damages; provided that if the City materially breaches its payment obligations under the Compensation and Payment Section, the Contractor may also recover reasonable attorneys' fees incurred in collecting such amounts.

9.9. **Equitable Relief.** The Parties acknowledge that breach of the confidentiality, data protection, intellectual property, or personnel provisions of this Agreement may cause irreparable harm for which monetary damages are an inadequate remedy. Accordingly, either Party may seek injunctive relief or specific performance for such breaches

without posting bond and without proving actual damages, in addition to any other available remedies.

10. INDEMNIFICATION AND LIABILITY

10.1. Defense and Indemnification

10.1.1. The Contractor hereby agrees to defend, indemnify, save, and hold harmless City, its appointed and elected officials, agents and employees for, from and against all liabilities, claims, judgments, suits or demands for damages to persons or property arising out of, resulting from, or relating to the Work performed under this Agreement ("Claims"), unless such Claims have been specifically determined by the trier of fact to be the sole negligence or willful misconduct of the City. This indemnity shall be interpreted in the broadest possible manner to indemnify City for any acts or omissions of the Contractor or its Subcontractors either passive or active, irrespective of fault, including City's concurrent negligence whether active or passive, except for the sole negligence or willful misconduct of City, and except as expressly limited by the terms of this Agreement.

10.1.2. The Contractor's duty to defend and indemnify City shall arise at the time written notice of the Claim is first provided to City regardless of whether Claimant has filed suit on the Claim. The Contractor's duty to defend and indemnify City shall arise even if City is the only party sued by claimant and/or claimant alleges that City's negligence or willful misconduct was the sole cause of claimant's damages.

10.1.3. The Contractor shall defend any and all Claims which may be brought or threatened against City and shall pay on behalf of City any expenses incurred by reason of such Claims including, but not limited to, court costs and attorney fees incurred in defending and investigating such Claims or seeking to enforce this indemnity obligation. Such payments on behalf of City shall be in addition to any other legal remedies available to City and shall not be considered City's exclusive remedy.

10.1.4. Insurance coverage requirements specified in this Agreement shall in no way lessen or limit the liability of the Contractor under the terms of this indemnification obligation. The Contractor shall obtain, at its own expense, any additional insurance that it deems necessary for the City's protection.

10.1.5. The Contractor shall defend, indemnify, save, and hold harmless the indemnified parties, against any and all costs, expenses, claims, damages, liabilities, and other amounts (including attorneys' fees and costs) incurred by the indemnified parties in relation to any claim that any Deliverable, or the use thereof, infringes a patent, copyright, trademark, trade secret, or any other intellectual property right. The Contractor's indemnification obligations under this Section shall not apply to infringement arising solely from: (i) the City's combination of the Deliverables with products, systems, or methods not provided, specified, or approved by the Contractor; (ii) the City's modification of the

Deliverables contrary to the Contractor's instructions or specifications; or (iii) the City's use of the Deliverables in a manner not contemplated by this Agreement or the applicable documentation, provided that such non-contemplated use was not reasonably foreseeable by the Contractor.

10.2. **Limitation of Liability.** To the extent permitted by law, and subject to the exceptions below, the Contractor's total aggregate liability to the City under or relating to this Agreement shall not exceed three (3) times the Maximum Agreement Amount. This limitation applies to all damages of any kind, including direct, indirect, consequential, special, incidental, punitive, and exemplary damages, whether arising in contract, tort, strict liability, or otherwise. No limitation on the Contractor's liability to the City under this Section shall limit or affect: (i) the Contractor's indemnification obligations to the City under this Agreement; (ii) claims or damages arising out of bodily injury, including death, or physical damage to tangible property of the City; (iii) claims or damages relating to loss, unauthorized access, unauthorized disclosure, or breach of City Data; (iv) claims or damages resulting from the recklessness, bad faith, fraud, or intentional misconduct of the Contractor or its Subcontractors; or (v) claims or damages for which the Contractor has obtained insurance coverage under this Agreement, up to the limits of such insurance actually maintained by the Contractor.

10.3. **Colorado Governmental Immunity Act.** The Parties hereto understand and agree that the City is relying upon, and has not waived, the monetary limitations and all other rights, immunities and protection provided by the Colorado Governmental Immunity Act, Colo. Rev. Stat. § 24-10-101 et seq.

11. **COMPLIANCE WITH LAWS AND POLICIES**

11.1. **General Compliance.** The Contractor shall comply with all applicable federal, state, and local laws, codes, rules, and regulations, including those of the United States, the State of Colorado, and the City and County of Denver. This includes, without limitation, the City's Charter, ordinances, public health orders, executive orders, and any other governing authorities relevant to the Contractor's performance under this Agreement. All such requirements are incorporated herein by reference to the extent applicable. Contractor personnel accessing City facilities shall adhere to City policies concerning facility access, use, and conduct. Upon request, the City shall provide the Contractor with copies of such policies.

11.2. **Compliance with Denver Wage Laws.** To the extent applicable to the Contractor's provision of Services hereunder, the Contractor shall comply with, and agrees to be bound by, all rules, regulations, requirements, conditions, and City determinations regarding the City's Minimum Wage and Civil Wage Theft Ordinances, D.R.M.C. §§ 58-1 to -26, including, but not limited to, the requirement that every covered worker shall be paid all earned wages under applicable state, federal, and city law in accordance with the foregoing D.R.M.C. Sections. By executing this Agreement, the Contractor expressly acknowledges that the Contractor is aware of the requirements of the City's Minimum Wage and Civil Wage Theft Ordinances and that any failure by the

Contractor, or any other individual or entity acting subject to this Agreement, to strictly comply with the foregoing D.R.M.C. Sections shall result in the penalties and other remedies authorized therein.

12. **INFORMATION SECURITY AND DATA PROTECTION**

12.1. **Compliance with Data Protection Laws.** The Contractor recognizes and agrees that: (i) City Data is valuable property of the City; (ii) City Data may include Confidential Information, protected, sensitive, or regulated data, and trade secrets of the City; (iii) City Data may contain PII or other sensitive information, even if the presence of such information is not labeled or disclosed; and (iv) the City has dedicated substantial resources to collecting, managing, protecting, and compiling City Data. If the Contractor receives access to City Data, the Contractor shall comply with all applicable federal, state, and local data protection laws, regulations, and industry standards relevant to its performance under this Agreement, including but not limited to Colo. Rev. Stat. §§ 24-73-101 et seq. No Exhibit, Task Order, or other term may waive or modify the Contractor's obligations under this Section or its legal obligations to protect City Data in compliance with applicable law.

12.2. **Data Privacy and Disclosure Requirements.** In compliance with D.R.M.C. § 28-251 and Colo. Rev. Stat. §§ 24-74-102 et seq., the Contractor shall not collect, retain, or share information regarding national origin, immigration status, citizenship status, or place of birth except as expressly required by law. The Contractor shall not disclose City Data or grant City system access to any third party except as required to perform this Agreement, as expressly authorized by the City in writing, or pursuant to a valid judicial warrant, subpoena, or court order. If the Contractor is granted direct access to any City database or automated network containing PII, the Contractor shall execute, on behalf of itself and its personnel with such access, the City's PII Access Certification annually and as a condition of initial access, as required by Colo. Rev. Stat. § 24-74-105, and the Contractor shall impose the same requirement on any subcontractor granted equivalent access.

12.3. **Security Breach and Remediation**

12.3.1. **Security Breach Notification and Response.** Upon becoming aware or reasonably suspecting that a Security Breach has occurred or may have occurred, the Contractor shall: (i) provide initial notification to the City within forty-eight (48) hours of first becoming aware or reasonably suspecting that a Security Breach has occurred or may have occurred, followed by a detailed written report within seventy-two (72) hours of first becoming aware or reasonably suspecting that a Security Breach has occurred or may have occurred, delivered to Privacy@denvergov.org, ATTN: CCD Data Protection Officer; (ii) cooperate fully with the City regarding data recovery, required lawful notices, investigations, and remediation efforts; (iii) preserve and provide to the City all information and documentation relevant to the Security Breach; (iv) take immediate steps to contain and mitigate the Security Breach and prevent further unauthorized access

or disclosure; and (v) conduct or commission a prompt forensic investigation to determine the cause, scope, and impact of the Security Breach.

12.3.2. **Remediation.** The Contractor shall implement and maintain a comprehensive program for managing actual or suspected Security Breaches. The Contractor may redact information that relates solely to other customers and has no bearing on the City's Security Breach, provided that the Contractor shall not redact: (i) any information concerning the Contractor's security practices, policies, procedures, or infrastructure; (ii) information concerning the root cause or attack vector of the Security Breach; (iii) information concerning the Contractor's incident response; or (iv) information necessary for the City to assess the scope and impact of the Security Breach on City Data. Any information provided under this Section shall be subject to the confidentiality obligations of this Agreement, and the City shall use reasonable efforts to protect the Contractor's proprietary information from unnecessary disclosure. If the Contractor fails to conduct or commission the forensic investigation, or to deliver the required remediation analysis and plan, within the time reasonably required by the City, the City may, at the Contractor's expense, conduct or commission such investigation and prepare such analysis and plan, and the Contractor shall reimburse the City for the reasonable costs incurred.

12.3.3. **Financial Responsibility.** The Contractor shall indemnify, defend, and hold the City harmless from and against all claims, liabilities, costs, expenses, and damages, including reasonable attorneys' fees, arising from or related to any Security Breach caused by the Contractor's acts or omissions, unless the Security Breach has been specifically determined by the trier of fact to have been caused by the sole negligence or willful misconduct of the City. The Contractor shall bear all costs associated with Security Breach notification, investigation, remediation, and any legally required credit monitoring or identity protection services for affected individuals.

12.3.4. **Mandatory Regulatory Disclosures.** The Contractor shall promptly provide the City with a copy of any disclosure the Contractor is required to file with any regulatory body as a result of a Security Breach or other incident arising from or related to this Agreement, including disclosures mandated by the Securities and Exchange Commission or any state or federal regulatory authority. If the contents of such disclosure are protected by law, the Contractor shall instead provide the City with prompt written notice that a disclosure was required, identifying the regulatory body to which the disclosure was made and the general nature of the incident giving rise to the disclosure obligation.

12.4. **Response to Legal Orders for City Data.** If the Contractor is required by a court of competent jurisdiction or administrative body to disclose City Data, the Contractor shall notify the City promptly, and in no event later than forty-eight (48) hours after receipt of the legal order, demand, or request, and shall, prior to any disclosure,

cooperate with the City's reasonable requests in connection with the City's right to intervene, quash, or modify the legal order, demand, or request, and upon request, provide the City with a copy of its response. Upon notice, the City shall promptly coordinate with the Contractor regarding the preservation and disposition of any City Data and records relevant to any current or anticipated litigation. If the City receives a subpoena, legal order, or other legal demand seeking data maintained by the Contractor, the City shall promptly provide a copy to the Contractor. Upon notice and if required by law, the Contractor shall promptly provide the City with copies of its data required for the City to meet its necessary disclosure obligations.

13. **DIGITAL ACCESSIBILITY REQUIREMENTS**

13.1. **Accessibility Standards.** To the extent required by law, the Contractor shall comply with the Accessibility Standards for Individuals with a Disability, as adopted by the Colorado Office of Information Technology under Colo. Rev. Stat. § 24-85-103 (the "Accessibility Standards"), and with the accessibility requirements applicable to the City as a public entity under Title II of the Americans with Disabilities Act, 42 U.S.C. § 12131 et seq., and its implementing regulations, including applicable web and mobile application accessibility standards.

13.2. **Remediation Requirements.** The City reserves the right, at its sole discretion, to engage a third-party evaluator to determine whether the Contractor is in compliance with the Accessibility Standards. The Contractor shall promptly address and resolve any accessibility non-compliance issues identified at no additional cost to the City. Upon the City's reasonable determination that accessibility issues exist, the Contractor shall develop a comprehensive remediation plan with specific timelines, subject to City approval. Insufficient progress toward compliance with the Accessibility Standards as outlined in the approved remediation plan shall constitute a material breach of this Agreement, potentially resulting in termination or non-renewal.

13.3. **Accessibility Indemnification.** The Contractor shall indemnify, save, hold harmless, and assume liability on behalf of the City, its officers, employees, agents, and assignees for all costs, expenses, claims, damages, liabilities, court awards, and other amounts, including attorneys' fees and related costs, incurred by the indemnified parties in relation to the Contractor's noncompliance with the Accessibility Standards, unless such noncompliance has been specifically determined by the trier of fact to have been caused by the sole negligence or willful misconduct of the City. For purposes of this Section, City employees are considered third parties.

14. **CONFIDENTIAL INFORMATION**

14.1. **General Confidentiality Obligations**

14.1.1. **Definition.** "Confidential Information" means any data or information, in any form, that is not subject to disclosure under the Colorado Open Records Act (CORA), Colo. Rev. Stat. §§ 24-72-201 et seq., and that is: (i) identified at the time of disclosure as confidential, proprietary, or otherwise protected; or (ii) that a reasonable person would understand to be confidential given the nature of the

information and the circumstances of its disclosure. For the avoidance of doubt, all City Data as defined in this Agreement shall be deemed Confidential Information of the City without any requirement of marking or identification at the time of disclosure. Either Party ("Disclosing Party") may provide such information to the other ("Receiving Party") under this Agreement. This Agreement conveys no ownership or license rights in the Confidential Information.

14.1.2. **Use and Disclosure Restrictions.** The Receiving Party shall not disclose, reproduce, or use the Disclosing Party's Confidential Information except as reasonably necessary to perform its obligations under this Agreement, and only to its employees, agents, consultants, or Subcontractors who require access for performance and are bound by written confidentiality obligations no less restrictive than those set forth herein. If compelled by law, regulation, or legal process other than CORA to disclose Confidential Information, the Receiving Party shall provide the Disclosing Party with prompt written notice sufficient to allow the Disclosing Party to seek a protective order or other appropriate remedy, shall cooperate with the Disclosing Party's reasonable efforts to resist or narrow the scope of disclosure, and shall disclose only the minimum information legally required.

14.1.3. **Exceptions.** Confidential Information does not include information that the Receiving Party can clearly demonstrate by competent evidence: (i) was lawfully in its possession prior to disclosure by the Disclosing Party; (ii) became publicly available through no breach of this Agreement; (iii) was independently developed without reference to the Disclosing Party's Confidential Information; or (iv) was lawfully obtained from a third party under no duty of confidentiality.

14.1.4. **Personally Identifiable Information.** The foregoing exceptions shall not apply to City Data containing PII, which shall remain subject to the full data protection and confidentiality obligations of this Agreement regardless of whether any individual data element within such information is, or becomes, publicly available through any means.

14.1.5. **Residual Knowledge.** Nothing in this Section shall restrict either Party's personnel from using general knowledge, skills, ideas, concepts, or techniques retained in unaided memory and gained through experience during the performance of this Agreement, provided that such use does not involve the disclosure or reproduction of Confidential Information in any tangible form. Notwithstanding the foregoing, this Section shall not permit any person to use, share, or act on knowledge, however retained, regarding: (i) specific details of City system architecture or network configuration; (ii) access credentials, authentication mechanisms, or privileged-access procedures; (iii) known vulnerabilities, unpatched exposures, or security weaknesses in City systems; or (iv) security control configurations or operational security procedures of the City.

14.2. **Colorado Open Records Act.** Nothing in this Agreement restricts the City's ability to comply with applicable laws or legal processes related to public disclosure. The Parties acknowledge that the Colorado Open Records Act (CORA), Colo. Rev. Stat. §§ 24-72-201 et seq., governs public disclosure of City records, and that materials exchanged hereunder, including Confidential Information, may be subject to disclosure thereunder. Upon receiving a disclosure request, the City shall promptly notify the Contractor, allowing an opportunity to object and identify the legal basis for withholding. In the event of legal action to compel disclosure, the Contractor shall either intervene to assert its claims or waive its objection. If the matter remains unresolved, the City shall submit the disputed material to a court for judicial determination. The Contractor further agrees to defend, indemnify, and save and hold harmless the City, its officers, agents, and employees, from any claim, damages, expense, attorneys' fees, or costs arising out of the Contractor's intervention to protect and assert its claim of privilege against disclosure under this Section.

15. **OWNERSHIP OF WORK PRODUCT AND INTELLECTUAL PROPERTY**

15.1. **Ownership of Work Product.** Subject to the Residual Knowledge provision of this Agreement, all Work Product is the exclusive property of the City. To the extent any Work Product qualifies as a "work made for hire" under applicable copyright law, it shall be deemed a work made for hire owned by the City. To the extent any Work Product does not so qualify, the Contractor hereby irrevocably assigns to the City all right, title, and interest in and to the Work Product, including all patent, copyright, trademark, trade secret, and other intellectual property rights therein. At the City's request and reasonable expense, the Contractor shall execute the documents and take the actions reasonably necessary to perfect or evidence the City's rights under this Section.

15.2. **Contractor Property; License to the City.** The Contractor retains all right, title, and interest in and to its pre-existing intellectual property used in, or necessary to use, the Work ("Contractor Property"). To the extent any Contractor Property is incorporated into, or is necessary to use, any Work Product or Deliverable, the Contractor grants the City a perpetual, irrevocable, non-exclusive, royalty-free, fully paid-up license to use, operate, maintain, modify, and create derivative works of such Contractor Property solely in connection with the City's use of the Work Product and Deliverables. Third-party materials incorporated into, or necessary to use, any Work Product or Deliverable shall be licensed to the City on the terms agreed by the Parties or, where applicable, the governing third-party or open-source license.

15.3. **City Data.** Nothing in this Section limits the City's ownership of City Data. As between the Parties, the City exclusively owns all City Data, the ownership and handling of which are governed by this Agreement.

16. **DEPARTMENT OF PUBLIC SAFETY IT PROVISIONS.** The Parties acknowledge and agree that the Department of Public Safety Information Technology Provisions ("DPS IT Provisions"), attached as **Exhibit D**, are hereby incorporated into this Agreement. The DPS

IT Provisions govern all technology, software, hardware, systems, services, interfaces, data exchanges, security requirements, and related deliverables procured, implemented, supported, or used under this Agreement. The DPS IT Provisions in **Exhibit D** apply only to Work that directly supports, interfaces with, processes data from, or involves systems or infrastructure operated by or on behalf of the Denver Department of Public Safety. For all other Work, **Exhibit D** shall not apply and the Contractor shall have no obligations thereunder. Any matters relating to the interpretation or application of the DPS IT Provisions shall be resolved in accordance with the Order of Precedence set forth within this Agreement.

17. **PROTECTED HEALTH INFORMATION.** The Contractor shall comply with all legislative and regulatory requirements of the Health Insurance Portability and Accountability Act of 1996 ("HIPAA"); the Health Information Technology for Economic and Clinical Health Act ("HITECH"); 42 CFR Part 2, Confidentiality of Substance Use Disorder Patient Records; the privacy standards adopted by the U.S. Department of Health and Human Services, 45 C.F.R. Parts 160 and 164, Subparts A and E; and the security standards adopted by the U.S. Department of Health and Human Services, 45 C.F.R. Parts 160, 162, 164, and Subpart C (collectively, "HIPAA Rules"). The Contractor shall implement all necessary protective measures to comply with HIPAA Rules, and the Contractor hereby agrees to be bound by the terms of the Business Associate Agreement attached hereto and incorporated herein as **Exhibit E**. The Contractor shall not use protected health information or substance use treatment records except as legally necessary to fulfill the purpose of this Agreement and shall hold the City harmless, to the extent permitted by law, for any breach of these regulations. The Contractor shall ensure that the requirements of this Section are included in any relevant subcontracts or subgrants.
18. **CRIMINAL JUSTICE INFORMATION.** The Contractor shall ensure that all Work performed under this Agreement complies with the standards set forth in the Criminal Justice Information Services ("CJIS") Security Policy, attached hereto and incorporated as **Exhibit F**, and all other applicable requirements issued by the Federal Bureau of Investigation ("FBI"). The Contractor is responsible for safeguarding the confidentiality, integrity, and availability of criminal justice information ("CJI") from unauthorized access, use, or disclosure. The Contractor shall assign and maintain internal responsibilities for CJIS compliance and fully cooperate with audits or inspections conducted by the City, the Colorado Bureau of Investigation, or the FBI to verify adherence to the CJIS Security Policy. Any breach or security incident involving CJI must be promptly reported to the City, along with appropriate remedial actions. Contractors with direct or indirect access to CJI shall handle CJI in accordance with the CJIS Security Policy and Title 28 of the Code of Federal Regulations, Part 20. Contractors supporting systems that provide direct access to CJI shall also follow the applicable laws, policies, and manuals incorporated into this Agreement, including but not limited to the NCIC Operating Manual, CCIC Training Manual, Interstate Identification Index / National Fingerprint File Operational and Technical Manual, and Title 28 CFR Part 23. Contractors performing criminal justice functions and accessing CJI shall

meet the same training and certification standards as governmental agencies performing comparable duties and shall be subject to audits on the same basis. Prior to receiving access to CJI or Federal Criminal History Record Information ("CHRI"), the Contractor and its personnel shall complete the CJIS Security Addendum certification, attached hereto. The Contractor shall maintain signed certification pages for each individual and provide copies to the City upon request.

19. **GOVERNING LAW; VENUE.** This Agreement shall be construed and enforced in accordance with applicable federal law, the laws of the State of Colorado, and the Charter, Revised Municipal Code, ordinances, regulations and Executive Orders of the City and County of Denver, which are expressly incorporated into this Agreement. Unless otherwise specified, any reference to statutes, laws, regulations, charter or code provisions, ordinances, executive orders, or related memoranda, includes amendments or supplements to same. Venue for any legal action relating to this Agreement shall be in the District Court of the State of Colorado, Second Judicial District (Denver District Court).
20. **WHEN RIGHTS AND REMEDIES NOT WAIVED.** In no event shall any action by either Party hereunder constitute or be construed to be a waiver by the other Party of any breach of covenant or default which may then exist on the part of the Party alleged to be in breach, and the non-breaching Party's action or inaction when any such breach or default shall exist shall not impair or prejudice any right or remedy available to that Party with respect to such breach or default; and no assent, expressed or implied, to any breach of any one or more covenants, provisions or conditions of this Agreement shall be deemed or taken to be a waiver of any other breach.
21. **NO THIRD-PARTY BENEFICIARY.** Enforcement of the terms of this Agreement and all rights of action relating to enforcement are strictly reserved to the Parties. Nothing contained in this Agreement gives or allows any claim or right of action to any third person or entity. Any person or entity other than the City or the Contractor receiving services or benefits pursuant to this Agreement is an incidental beneficiary only.
22. **NO AUTHORITY TO BIND CITY TO CONTRACTS.** The Contractor lacks any authority to bind the City on any contractual matters. Final approval of all contractual matters that purport to obligate the City must be executed by the City in accordance with the City's Charter and the Denver Revised Municipal Code.
23. **AGREEMENT AS COMPLETE INTEGRATION-AMENDMENTS.** This Agreement, including its Exhibits and any duly executed Task Orders and amendments, is the complete integration of all understandings between the Parties as to the subject matter of this Agreement. No prior, contemporaneous, or subsequent addition, deletion, or other modification has any force or effect, unless embodied in a written amendment to this Agreement executed by authorized representatives of both Parties. No oral representation by any officer or employee of the City at variance with the terms of this Agreement or any written amendment to this Agreement shall have any force or effect or bind the City.
24. **SEVERABILITY.** Except for the provisions of this Agreement requiring appropriation of funds and limiting the total amount payable by the City, if a court of competent jurisdiction

finds any provision of this Agreement or any portion of it to be invalid, illegal, or unenforceable, the validity of the remaining portions or provisions shall not be affected, if the intent of the Parties can be fulfilled.

25. **CONFLICT OF INTEREST.** No employee of the City shall have any personal or beneficial interest in the Work or the Deliverables described in this Agreement. The Contractor shall not hire, or contract for services with, any employee or officer of the City that would be in violation of the City's Code of Ethics, D.R.M.C. § 2-51 et seq., or the Charter §§ 1.2.8, 1.2.9, and 1.2.12. The Contractor shall not engage in any transaction, activity or conduct that would result in a conflict of interest under this Agreement. The Contractor represents that it has disclosed all current or potential conflicts of interest. A conflict of interest shall include transactions, activities or conduct that would affect the judgment, actions or work of the Contractor by placing the Contractor's own interests, or the interests of any party with whom the Contractor has a contractual arrangement, in conflict with those of the City. The City, in its sole discretion, shall determine the existence of a conflict of interest and may terminate this Agreement in the event it determines a conflict exists, after it has given the Contractor written notice describing the conflict.
26. **NOTICES**
    26.1. **Notices Generally.** All formal notices required by the terms of this Agreement—including without limitation notices of default, breach, termination, claim, indemnity tender, dispute, and any notice modifying this Agreement—shall be in writing and shall be hand delivered, sent by a nationally recognized overnight courier service, or sent by certified mail (return receipt requested). Notices to the Contractor shall be sent to the address set forth in the caption of this Agreement. Notices to the City shall be sent to: Chief Information Officer, Denver Technology Services, 201 West Colfax Avenue, Dept. 301, Denver, Colorado 80202, with a required copy to: Denver City Attorney's Office, 1437 Bannock Street, Room 353, Denver, Colorado 80202. Notices hand delivered or sent by overnight courier are effective upon delivery. Notices sent by certified mail are effective upon receipt. Either Party may designate substitute addresses for formal notices by providing formal notice to the other Party in accordance with this Section.
    26.2. **Routine Communications.** Routine contract administration communications, including invoicing, status reports, deliverable submissions, license change requests, and day-to-day project communications, may be delivered by email to the email addresses most recently provided by each Party and are effective upon receipt, absent indication of transmission failure. Either Party may update its email address or other contact information for routine communications by written notice to the other Party.
    26.3. **Special-Purpose Channels.** Where this Agreement specifies a particular notice channel, addressee, or timeline for a particular type of communication, that specification controls over the general provisions of this Section.
27. **DISPUTES.** The Parties shall attempt to resolve disputes arising out of or relating to this Agreement through the following escalation process before resorting to formal proceedings: (i) the designated representatives of each Party shall meet and confer in good faith to resolve

the dispute within fifteen (15) Business Days of written notice identifying the dispute; (ii) if unresolved, the dispute shall be escalated to the CIO (or designee) and the Contractor's senior executive with authority to bind the Contractor, who shall meet and confer within an additional fifteen (15) Business Days. If the dispute remains unresolved after exhaustion of this escalation process, either Party may proceed to administrative hearing pursuant to D.R.M.C. § 56-106(b)-(f). For the purposes of that administrative procedure, the City official rendering a final determination shall be the City's Chief Information Officer. Nothing in this Section shall prevent either Party from seeking equitable relief as provided in the Equitable Relief provision. In the event of a dispute between the Parties, the Contractor shall continue to perform its obligations under this Agreement during the resolution of the dispute until this Agreement is terminated in accordance with its terms.

28. **NO DISCRIMINATION IN EMPLOYMENT.** In connection with the performance of Work under this Agreement, the Contractor may not refuse to hire, discharge, promote, demote, or discriminate in matters of compensation against any person otherwise qualified, solely because of race, color, religion, national origin, ethnicity, citizenship, immigration status, gender, age, sexual orientation, gender identity, gender expression, marital status, source of income, military status, protective hairstyle, or disability. The Contractor shall insert the foregoing provision in all subcontracts.
29. **LEGAL AUTHORITY.** The Contractor represents and warrants that it possesses the legal authority, pursuant to any proper, appropriate, and official motion, resolution or action passed or taken, to enter into this Agreement. Each person signing and executing this Agreement on behalf of the Contractor represents and warrants that he has been fully authorized by the Contractor to execute this Agreement on behalf of the Contractor and to validly and legally bind the Contractor to all the terms, performances and provisions of this Agreement. The City shall have the right, in its sole discretion, to either temporarily suspend or permanently terminate this Agreement if there is a dispute as to the legal authority of either the Contractor or the person signing this Agreement to enter into this Agreement.
30. **LITIGATION REPORTING.** If the Contractor is served with a pleading or other document in connection with an action before a court or other administrative decision making body, and such pleading or document relates to this Agreement or may affect the Contractor's ability to perform its obligations under this Agreement, the Contractor shall, within ten (10) Business Days after being served, notify the City of such action and deliver copies of such pleading or document, unless protected by law, to the City.
31. **LICENSES, PERMITS, AND OTHER AUTHORIZATIONS.** The Contractor shall secure, prior to the Term, and shall maintain, at its sole expense, all licenses, certifications, rights, permits, and other authorizations required to perform its obligations under this Agreement. This Section is a material part of this Agreement.
32. **NO CONSTRUCTION AGAINST DRAFTING PARTY.** The Parties and their respective counsel have had the opportunity to review this Agreement, and this Agreement shall not be construed against any party merely because any provisions of this Agreement were prepared by a particular party.

33. **ORDER OF PRECEDENCE.** In the event of any conflict or inconsistency between the provisions of this Agreement—including the body, Exhibits, attachments, or any Task Orders, invoices, or quotes issued by the Contractor—the following order of precedence shall apply, with higher-ranked documents controlling over lower-ranked documents: first, if attached, Exhibit E (HIPAA BAA) and **Exhibit F** (CJIS Security Addendum); second, the body of this Agreement; third, Exhibit C (Information Technology Provisions) and, if attached, Exhibit D (Department of Public Safety Information Technology Provisions); fourth, **Exhibit A** (Statement of Work); fifth, **Exhibit B** (Certificate of Insurance); and finally, duly executed Task Orders, in reverse chronological order. For clarity, no terms contained in any Task Order, invoice, quote, embedded hyperlink, referenced document, or other supplemental material shall be binding on the City or modify the legal, financial, or material terms of this Agreement unless expressly agreed to by both Parties in a written amendment executed by authorized representatives of the Parties. Task Orders, quotes, and order forms may supplement this Agreement solely with respect to specific products, services, quantities, pricing, or delivery terms, and shall not override any other provisions herein. As among Exhibits of equal rank, if a conflict cannot be reconciled through harmonious construction, the provision imposing the greater obligation on the Contractor or the higher standard of security shall govern. Notwithstanding the foregoing order of precedence, in any conflict between the body of this Agreement and **Exhibit C** (Information Technology Provisions) concerning data protection, information security, privacy, or the handling, return, or destruction of City Data, the provision affording the greater protection for City Data shall govern, regardless of rank.
34. **SURVIVAL OF CERTAIN PROVISIONS.** As used in this Section, "End Date" means the Expiration Date or the effective date of earlier termination of this Agreement. Any term of this Agreement, including its Exhibits and attachments, that by reasonable implication contemplates continued performance, rights, or compliance beyond the End Date shall survive and remain enforceable. Without limiting the foregoing: the Contractor's insurance and indemnification obligations survive for the duration of all applicable statutes of limitation, plus any additional time reasonably necessary to resolve claims, disputes, or proceedings initiated within that period; the Contractor's confidentiality and data-protection obligations survive in perpetuity as to City Data, PII, and trade secrets, and for five (5) years as to all other Confidential Information; any grant of property or intellectual property rights to the City that by its terms extends beyond the Term remains in effect after the End Date; all rights and remedies under the Breach and Remedies Section survive; and any warranty made available to the City, whether under this Agreement or otherwise, survives for the duration specified in the warranty documentation or as permitted by applicable law.
35. **INUREMENT.** The rights and obligations of the Parties herein set forth shall inure to the benefit of and be binding upon the Parties hereto and their respective successors and assigns permitted under this Agreement.

36. **TIME IS OF THE ESSENCE.** The Parties agree that in the performance of the terms, conditions, and requirements of this Agreement, time is of the essence.
37. **FORCE MAJEURE.** Neither Party shall be in breach of this Agreement to the extent, and for the duration, that performance of a specific obligation is directly and materially prevented solely by a Force Majeure event (an "Excusable Delay"), provided the delayed Party gives prompt written notice and reasonable documentation of the Excusable Delay and uses commercially reasonable efforts to mitigate and resume performance. A "Force Majeure event" is an event beyond a Party's reasonable control that directly prevents performance, including acts of God, natural disasters, war, terrorism, civil disturbance, or government action other than by the City. Economic hardship, workforce labor disputes, supply-chain disruptions where commercially available substitutes exist, and cybersecurity incidents — including ransomware, denial-of-service attacks, and Security Breaches — are not Force Majeure events. An Excusable Delay does not excuse any obligation relating to data protection and security, confidentiality, indemnification, insurance maintenance, compliance with applicable law, payment of amounts already due and owing, return or transfer of City Data, Deliverables, or City property, or any reporting or notification obligation under this Agreement. Relief is limited to the duration of the event and the obligations actually prevented, without increase to the Maximum Agreement Amount. If the event continues beyond thirty (30) days, the City may terminate, suspend performance with a corresponding suspension of payment, or procure substitute performance.
38. **PARAGRAPH HEADINGS.** The captions and headings set forth herein are for convenience of reference only and shall not be construed to define or limit the terms and provisions hereof.
39. **ADVERTISING, PUBLIC DISCLOSURE, AND USE OF CITY LOGOS.** The Contractor shall not reference this Agreement or the Services in any advertising or public relations materials without the City's prior written approval. Any presentation or materials regarding the Services shall be limited to Work that the City has Accepted or otherwise approved in writing, and the Contractor shall provide the City advance written notice of the date, time, and content of any such presentation. The Contractor shall not use any official City logo, seal, insignia, emblem, or other identifying mark of the City and County of Denver (collectively, "City Logos") without the City's prior written permission. Any permitted use shall not imply endorsement or sponsorship by the City unless the written permission expressly states otherwise. Any permission is non-transferable and may be revoked by the City at any time in its sole discretion; upon revocation, the Contractor shall immediately cease all use of City Logos. Nothing in this section restricts the Contractor from communicating with City officials regarding the Services or from using City Logos as expressly required by law.
40. **EXTERNAL TERMS AND PROHIBITED PROVISIONS**
    40.1. **External Terms**. Notwithstanding any other provision of this Agreement, the City shall not be bound by any term, condition, or agreement — including any links or incorporated materials — appearing in or forming part of any Contractor or

subcontractor website, catalog, proposal, form, end-user license agreement, terms of service, click-through or shrink-wrap agreement, ordering document, statement of work, or invoice, unless that provision is specifically set forth in the body of this Agreement or in an exhibit hereto. No signature, acceptance, click-through, or other action by any City employee, agent, or representative shall incorporate or give effect to any such external provision.

40.2. **Prohibited Provisions.** Any term contained in this Agreement or in any exhibit, attachment, or document incorporated herein that: (i) requires the City to indemnify, defend, or hold harmless the Contractor or any third party; (ii) requires the City to submit to binding arbitration; (iii) limits, caps, disclaims, or excludes any liability of the Contractor or any category of damages recoverable from the Contractor, except as expressly set forth in the Limitation of Liability Section of this Agreement; (iv) requires payment of any obligation for which funds have not been appropriated by the Denver City Council; or (v) purports to alter or supersede the order of precedence established in this Agreement; is void ab initio and of no force or effect, regardless of whether the document containing such term was signed, accepted, or referenced by any City employee, agent, or representative. Any agreement otherwise containing a prohibited term shall remain enforceable as if it did not contain such term.

41. **USE, POSSESSION OR SALE OF ALCOHOL OR DRUGS.** To the extent applicable, the Contractor shall cooperate and comply with the provisions of Executive Order 94 and Attachment A thereto concerning the use, possession or sale of alcohol or drugs. Violation of these provisions or refusal to cooperate with implementation of the policy can result in the City barring the Contractor from City facilities or participating in City operations.
42. **CITY EXECUTION OF AGREEMENT.** This Agreement is expressly subject to and shall not be or become effective or binding on the City until it has been fully executed by all signatories of the City and County of Denver.
43. **COUNTERPARTS OF THIS AGREEMENT.** This Agreement may be executed in counterparts, each of which shall be deemed to be an original of this Agreement.
44. **ELECTRONIC SIGNATURES AND ELECTRONIC RECORDS.** The Contractor consents to the use of electronic signatures by the City. This Agreement, and any other documents requiring a signature hereunder, may be signed electronically by the City in the manner specified by the City. The Parties agree not to deny the legal effect or enforceability of this Agreement solely because it is in electronic form or because an electronic record was used in its formation. The Parties agree not to object to the admissibility of this Agreement in the form of an electronic record, or a paper copy of an electronic document, or a paper copy of a document bearing an electronic signature, on the ground that it is an electronic record or electronic signature or that it is not in its original form or is not an original.
45. **Attached Exhibits Incorporated.** The following attached exhibits are hereby incorporated into and made a material part of this Agreement: **Exhibit A**, Statement of Work; **Exhibit B**, Certificate of Insurance; **Exhibit C**, Information Technology Provisions; [**Exhibit D**, Department of Public Safety Information Technology Provisions;] [**Exhibit E**,

HIPAA/HITECH BAA;] [and **Exhibit F**, Criminal Justice Information Services Security Addendum].

SIGNATURE PAGES FOLLOW

EXHIBIT _____, INFORMATION TECHNOLOGY PROVISIONS

This Exhibit regarding Information Technology Provisions (this "Exhibit") is a material part of the Agreement between the Parties to which this Exhibit is attached. In addition to the requirements of the main body of this Agreement, the Contractor shall protect the City's information technology resources and City Data in accordance with this Exhibit. All provisions of this Exhibit that refer to the Contractor shall apply equally to any Subcontractor performing Work in connection with this Agreement. Unless the context clearly requires a distinction between the Agreement and this Exhibit, all references to "Agreement" shall include this Exhibit. Capitalized terms used but not defined in this Exhibit have the meanings assigned to them in the Agreement.

1. TECHNOLOGY REQUIREMENTS

1.1. Identity and Access Management

1.1.1. User Credentials: The Contractor shall restrict and manage all user account credentials for systems used to perform the Work in accordance with documented identity, entitlement, and access management policies and procedures. At a minimum, the Contractor shall: (i) support identity trust verification and interoperable service-to-service (API) authentication, including single sign-on and federation where applicable; (ii) manage the full credential lifecycle from issuance through revocation; (iii) minimize the creation and duplication of credential and identity stores; and (iv) enforce industry-standard authentication, authorization, and accounting controls, including strong or multi-factor authentication and expiring, non-shared authentication secrets.

1.1.2. IdM Integration: The City's Identity and Access Management ("IdM") system is an integrated infrastructure solution that enables many of the City's services and online resources to operate more efficiently, effectively, and securely. All new and proposed applications must utilize the authentication and authorization functions and components of IdM. Strong authentication is required for privileged accounts or accounts with access to sensitive information. This technical requirement applies to all solutions regardless of where the application is hosted.

1.2. Software Updates and Maintenance

1.2.1. Updates & Upgrades: During the Term, the Contractor shall provide the City with all updates and upgrades to the On-Premise Software and SaaS without additional charge, consistent with what the Contractor provides to its customers generally. Upon delivery, upgrades become part of the licensed software and are subject to all terms of this Agreement.

1.2.2. Compatibility with Third-Party Software: The Contractor shall ensure that its Deliverables remain compatible with current, generally available versions of any third-party software necessary for the Deliverables to function as intended. The Contractor shall complete any necessary updates to maintain such compatibility

within a commercially reasonable timeframe following new releases of such third-party software. If the Contractor's Deliverables become incompatible with current third-party software versions, the City may, in its discretion, suspend use of the incompatible Deliverables without penalty until compatibility is restored. The Contractor shall bear all costs of maintaining third-party software compatibility.

1.2.3. Supported Releases: The Contractor shall maintain all third-party software used in the development, execution, or delivery of the Deliverables on vendor-supported releases throughout the Term, including all code libraries, frameworks, components, and other products, whether commercial, open-source, or closed-source. This requirement extends to any Contractor-controlled systems operating on the City's network, including applications, firewalls, and physical or virtual appliances. The Contractor shall not require the City to use end-of-life or unsupported software versions to maintain compatibility with the Contractor's Deliverables.

1.3. License and Fee Management

1.3.1. License Administration: The City may manage licenses under this Agreement as follows, in each case without formal amendment. (i) Reassignment: the City may reassign or substitute individual licensees or authorized users at any time, at no additional charge, provided the total number of licenses then in effect does not increase. (ii) Increases: the City may increase the total number of licenses at any time by written notice, and the Contractor shall implement the increase within five (5) Business Days and invoice the additional licenses at the per-unit rates set forth in the Agreement. (iii) Decreases: the City may decrease the total number of licenses by written notice given at least sixty (60) days before each anniversary of the Commencement Date, effective on that anniversary, and the Contractor shall adjust invoicing accordingly. (iv) Product Substitution: if the Contractor offers alternative products or modules within its product portfolio, the City may substitute licensed products upon written notice, provided that the Parties agree in writing to the pricing for the substitute product and the substitution neither increases the Maximum Agreement Amount nor extends the Term. Substitutions shall be documented by written acknowledgment of both Parties.

1.3.2. Fee Accrual: Fees for maintenance, support, SaaS subscriptions, or similar ongoing services shall not accrue, and no subscription periods shall commence, before the City's Acceptance or first production use of the applicable Deliverable, whichever occurs first. For purposes of this Section, "first production use" does not include any pilot, beta, trial, testing, or sandbox deployment.

2. DATA GOVERNANCE AND OWNERSHIP

2.1. Data Ownership and Usage Rights: Unless otherwise required by law, the City has exclusive ownership of all City Data, including all City Data created, processed, or derived in connection with this Agreement. The Parties acknowledge and agree that the Contractor acts solely as a data custodian with respect to City Data, and its possession

and use of City Data is limited to performing its obligations under this Agreement. Notwithstanding the foregoing, the City grants the Contractor a limited, non-exclusive license to use City Data solely to create aggregated, de-identified usage statistics, provided that such statistics are de-identified using prevailing industry-standard methods such that neither the City nor any individual can reasonably be identified, directly, indirectly, or through combination with any other data reasonably available to the Contractor. Statistics created in compliance with this section do not constitute City Data, and the Contractor may retain and use such statistics for its internal business purposes, including product improvement and benchmarking, provided that the Contractor shall not sell, license, or otherwise disclose such statistics to any third party in a manner that identifies, or could reasonably be used to identify, the City as the source. The City retains the right to access and retrieve City Data at any time during the Term. This Agreement grants neither Party any rights to the other Party's data, content, or intellectual property except as expressly stated herein.

2.2. **Data Use Restrictions**: The Contractor shall not use City Data for any purpose other than performing its obligations under this Agreement, except as expressly authorized in writing by the City or as required by applicable law. Prohibited activities include, without limitation: (i) Data mining, analysis, or processing of City Data for any purpose other than performing the Contractor's obligations under this Agreement; and (ii) Sharing, selling, licensing, or otherwise disclosing City Data to third parties for purposes unrelated to this Agreement.

2.3. **Artificial Intelligence and Automated Decision-Making Technology**: The Contractor shall comply with all applicable Colorado law governing the use and deployment of artificial intelligence and automated decision-making technology then in effect, including C.R.S. § 6-1-1701 et seq., as amended, repealed and reenacted, or superseded. The Contractor shall not use City Data to train, improve, or develop any artificial intelligence, machine learning models, algorithms, or automated decision-making systems without express written authorization from the City. The Contractor shall not use any high-risk artificial intelligence system, as defined in Colo. Rev. Stat. § 6-1-1701(9), to perform or deliver the Work without the City's prior written approval, and the Contractor's request for approval shall identify the system, its intended function, and its anticipated impact on the Work. If the City approves such use, the Contractor shall comply with all requirements of Colo. Rev. Stat. § 6-1-1701 et seq., including exercising reasonable care to protect against algorithmic discrimination and ensuring appropriate human oversight, documentation, and transparency for consequential decisions.

2.4. **Data Lifecycle Management**

2.4.1. **Backup and Preservation**: The Contractor shall maintain regular backups of all City Data using industry-standard procedures and security measures. The Contractor shall preserve City Data for litigation holds as requested by the City and shall not obstruct the City's ability to access or retrieve City Data stored by the Contractor.

2.4.2. **Retention and Destruction**: The Contractor shall retain City Data only as long as necessary to perform its obligations under this Agreement or as required by law. Where a specific retention or deletion period for a category of City Data is established in another Exhibit to this Agreement, that specific period shall control over the general standard set forth in this Section, and the Contractor shall comply with the more restrictive requirement. Upon expiration or termination of this Agreement, the Contractor shall, as directed by the City, either (i) return all City Data to the City in non-proprietary file formats and easily digestible databases or files (e.g., CSV, SQL, or JSON) of the City's choice at no additional cost to the City, or (ii) securely destroy all City Data and certify such destruction in writing, in each case within fifteen (15) days after the later of the effective date of expiration or termination or the end of any transition assistance period invoked under this Exhibit, or within such other period as the City directs in writing; where the City elects destruction, the Contractor shall deliver the written certification within ten (10) days after completing destruction. Destruction shall render City Data permanently unreadable and indecipherable through shredding, erasing, secure wiping, or other methods approved by the City. These obligations apply equally to the Contractor's successors, including any trustee in bankruptcy, and survive termination of this Agreement.

2.5. **Data Location Requirements**: All City Data must be stored, processed, and transmitted solely within the United States unless the City provides express written approval specifying permitted locations, duration, security requirements, and conditions for any exception. Notwithstanding anything to the contrary in this Agreement, the City has no responsibility or obligation to comply with foreign data protection laws or policies, including but not limited to the General Data Protection Regulation of the European Union.

2.6. **Monitoring, Audit, and Survivability**: The City may inspect and monitor the Contractor's access to and use of City Data and evaluate the Contractor's data protection controls, subject to reasonable advance notice and the Contractor's reasonable security requirements. The data governance and protection obligations in this Section survive termination or expiration of this Agreement and remain in effect until all City Data is properly returned, securely destroyed, or as otherwise required by law.

3. SECURITY STANDARDS AND SAFEGUARDS

3.1. **Mandatory Security Standards**: When maintaining, storing, or processing PII on the City's behalf, the Contractor is a "Third-Party Service Provider" under Colo. Rev. Stat. § 24-73-103(1)(i) and shall maintain security procedures consistent with Colo. Rev. Stat. § 24-73-101 et seq. The Contractor shall implement and maintain administrative, physical, technical, and procedural safeguards appropriate to the sensitivity and volume of City Data, using controls and practices consistent with applicable industry standards and legal requirements, including clearly defined authorization processes and reasonable access restrictions. These safeguards must protect City Data from unauthorized access,

use, modification, disclosure, or destruction and guard against reasonably anticipated threats or hazards to its security or integrity.

3.2. **Encryption Requirements**: All City Data must be encrypted both in transit and at rest. Encryption at rest shall use AES-256 or an equivalent NIST-approved algorithm of equal or greater strength. Encryption in transit shall use TLS 1.2 or higher. This requirement applies to all file transfers, transmissions, web interfaces, storage systems, and backups containing City Data. The Contractor shall not downgrade from these encryption standards without the City's express prior written consent.

3.3. **Software Security and Vulnerability Management**: The Contractor shall not use software with known security vulnerabilities in connection with City services. The Contractor shall regularly consult the Cybersecurity and Infrastructure Security Agency (CISA) Known Exploited Vulnerabilities Catalog and other authoritative vulnerability databases and shall promptly remediate any applicable vulnerabilities identified therein. The Contractor shall maintain a documented vulnerability management program and provide evidence of compliance upon the City's request. Upon request, the Contractor shall provide a software bill of materials ("SBOM") annually or upon major changes to the solution(s) provided to the City under this Agreement. The Contractor shall provide a complete SBOM for the supported life of the solution(s).

3.4. **Software Licensing and Intellectual Property Compliance**: The Contractor shall use only properly licensed software and technology in all systems that access, process, store, or transmit City Data. The Contractor shall maintain compliance with all applicable intellectual property requirements, including copyright laws and software license terms, for all software and technology deployed under this Agreement. The Contractor shall provide proof of licensing compliance upon the City's request.

3.5. **Network Security Controls**: The Contractor shall implement network security measures appropriate to the sensitivity of accessible City Data, including but not limited to firewalls, intrusion detection and prevention systems, security monitoring, and network segmentation. The Contractor shall conduct periodic security assessments and penetration testing in accordance with this Exhibit and shall remediate identified vulnerabilities according to industry-standard timelines based on severity.

4. PERSONNEL SECURITY AND ACCESS CONTROLS

4.1. **Personnel Access and Qualifications**: The Contractor shall grant access to City Data only to personnel who require such access to perform their assigned responsibilities under this Agreement. Before granting access to City Data, the Contractor shall ensure such personnel have: (i) Completed background screenings appropriate to the sensitivity of accessible City Data and consistent with applicable law; (ii) Received training on data protection requirements applicable to this Agreement; and (iii) Acknowledged in writing their obligations to protect City Data. The Contractor shall promptly revoke access when personnel no longer require it or upon termination of their employment or engagement or a change in role. If the Contractor has access to Federal Tax Information ("FTI") under

this Agreement, the Contractor shall comply with the background check and safeguarding requirements of IRS Publication 1075.

4.2. **Access Control Requirements**: The Contractor shall implement and maintain access controls for all personnel with access to City Data, including: (i) Least Privilege Access: Limiting access rights to the minimum necessary to perform assigned duties; (ii) Multi-Factor Authentication: Requiring multi-factor authentication for all systems that access, process, store, or transmit City Data; (iii) Access Logging and Monitoring: Maintaining logs of all access to City Data, including user identity, date, time, and nature of access. Logs shall be retained for at least one (1) year and made available to the City upon request; and (iv) Periodic Access Reviews: Conducting regular reviews to ensure access rights remain appropriate.

4.3. **Confidentiality Obligations**: The Contractor shall require all personnel with access to City Data to execute nondisclosure agreements that are at least as protective of City Data as the confidentiality terms of this Agreement. The Contractor remains fully responsible for all acts and omissions regarding City Data by its personnel, regardless of whether such personnel have executed nondisclosure agreements. Upon the City's request, the Contractor shall provide copies of executed nondisclosure agreements with Subcontractors and other third parties who have access to City Data under this Agreement.

5. SECURITY AUDITS AND TESTING

5.1. Baseline Audit Requirements

5.1.1. The security audits and assessments set forth in this Section address the Contractor's information security controls, practices, and safeguards applicable to City Data. These assessments are in addition to, and do not limit, any other audit, examination, or inspection rights of the City under this Agreement. The Contractor shall conduct or have conducted the following security assessments at its own expense:

5.1.1.1. **Annual Security Audit**: An SSAE 18 SOC 2 Type 2 audit (or successor standard), performed by an authorized third party, of the Contractor's security policies, procedures, and controls applicable to the Work performed under this Agreement. The Contractor represents that it has completed such an audit within the twelve (12) months preceding the Effective Date and shall complete such an audit at least annually during the Term. The Contractor shall provide audit results to the City within seven (7) Business Days of receipt;

5.1.1.2. **Vulnerability Scanning**: At least quarterly, external and internal vulnerability scans of systems and facilities used to perform the Work, including public-facing websites. Scans shall identify vulnerabilities by severity (critical, high, medium, low);

5.1.1.3. **Penetration Testing**: At least annually, a formal penetration test performed by qualified personnel of systems and facilities used to perform the Work; and

5.1.1.4. **Data Integrity Audits**: If the Contractor hosts or maintains the authoritative system of record for any City Data, at least annually, third-party verification of the quality and authenticity of that City Data to protect against data deterioration or degradation.

5.1.2. The Contractor shall also complete the City's annual security risk assessment and associated security evaluation procedures, as provided to the Contractor in writing.

5.2. **Audit Reports and Remediation**: The Contractor shall provide the City with all security audit reports, certifications, vulnerability reports, and test documentation within seven (7) Business Days of receipt. Reports shall include the total number of vulnerabilities, their severity ratings, age of known vulnerabilities, and planned remediation timelines. The Contractor shall remediate identified vulnerabilities as follows: (i) critical vulnerabilities within fifteen (15) days; (ii) high vulnerabilities within thirty (30) days; and (iii) medium and low vulnerabilities according to industry-standard timelines. The Contractor shall provide written evidence of completed remediation to the City upon request.

5.3. **Additional Security Assessments**: The City may require additional security audits, assessments, or testing beyond the baseline requirements if warranted by: (i) changes in the threat environment; (ii) Security Breaches or suspected security incidents; (iii) significant changes to the Work or systems; or (iv) results of baseline audits indicating material security deficiencies. For additional assessments required under subsections (i), (ii), or (iv), the Contractor shall bear the cost. For additional assessments required under subsection (iii) that result from City-requested changes to the scope of Work, the Parties shall negotiate cost responsibility in good faith. The Contractor shall provide results of all additional assessments to the City within seven (7) Business Days of receipt.

5.4. **Policy Disclosure**: Upon the City's request, the Contractor shall provide copies of its information security, data privacy, record retention, incident response, and business continuity policies and procedures applicable to the Work performed under this Agreement. The Contractor shall notify the City in writing of any material changes to such policies that could affect the Contractor's ability to meet its obligations under this Agreement.

6. DISASTER RECOVERY, BUSINESS CONTINUITY, AND TRANSITION

6.1. **Business Continuity and Disaster Recovery Program**: The Contractor shall maintain a business continuity and disaster recovery program designed to enable the Contractor to resume and continue performing its obligations under this Agreement following any significant business disruption. The program shall include appropriate backup systems, failover capabilities, and recovery procedures to minimize service interruptions. The Contractor shall provide the City with a copy of its disaster recovery plan upon request.

6.2. **Business Continuity Testing and Remediation**: The Contractor shall test its business continuity and disaster recovery capabilities at least annually to verify the

program's effectiveness in resuming and continuing operations under this Agreement. The Contractor represents that it has completed such testing within the twelve (12) months preceding the Effective Date and shall provide the results to the City upon request. The Contractor shall remediate any deficiencies identified through testing within thirty (30) days and provide written evidence of remediation to the City. The Contractor shall provide the City with test summaries or documentation upon request.

6.3. **Software Escrow**: At the City's request, the Contractor shall deposit and maintain in escrow the source code and documentation for On-Premise Software licensed under this Agreement. The Contractor shall update the escrowed materials with each new release provided to the City. The escrow agent shall release the escrowed materials to the City if the Contractor: (i) files for bankruptcy or becomes insolvent; (ii) ceases business operations; or (iii) discontinues support for the On-Premise Software. The City may use released materials solely to support and maintain the On-Premise Software for its internal use.

6.4. **Transition Assistance**: The Contractor acknowledges that the Work is vital to the City and must continue without interruption upon expiration or termination of this Agreement. Upon the City's written request made at least ninety (90) days before expiration of the Term, or within ten (10) Business Days after either Party gives notice of termination, the Contractor shall provide transition assistance for up to sixty (60) days following expiration or termination, including: (i) Knowledge transfer and training to City personnel or a successor contractor; (ii) Access to system documentation, configurations, and operational procedures; (iii) Reasonable cooperation to ensure continuity of services; and (iv) Continued performance of the Work during the transition period. The Contractor shall be compensated for transition services at the rates specified in this Agreement, prorated as applicable. If transition assistance extends beyond sixty (60) days, the City may extend this Agreement monthly as necessary, with compensation prorated accordingly.

6.5. **Survival of Obligations**: The obligations set forth in this Section shall survive the expiration or termination of this Agreement to the extent necessary to effectuate their purposes, including the Contractor's obligations to provide transition assistance and the City's rights to access escrowed materials under the conditions specified herein.

7. DELIVERY AND ACCEPTANCE

7.1. Acceptance Process: A Deliverable is accepted ("Acceptance") only upon the City's written notice of acceptance. The City shall accept or reject each Deliverable within forty-five (45) days after delivery and may extend that review period by an additional thirty (30) days by written notice to the Contractor before the initial period expires. The City may reject a Deliverable if it materially deviates from the specifications and requirements of this Agreement, and rejection notices shall describe the nature of the deviation. If the City fails to accept or reject a Deliverable within the review period, as extended, the Contractor may escalate the matter under the dispute resolution provisions of the Agreement, but no Deliverable shall be deemed accepted by the passage of time or by

payment of an invoice. Acceptance does not preclude the City from asserting claims based on latent defects that could not reasonably have been detected during the review period and does not waive any warranty or other obligation under this Agreement.

7.2. **Rejection and Remediation**: Following rejection, the Contractor shall correct the deviation at its sole expense and redeliver the Deliverable within fifteen (15) days. The acceptance procedures above shall apply to redelivered Deliverables. If the City determines that a Deliverable does not perform as warranted after Acceptance, the City may revoke acceptance and require remediation in accordance with the warranty provisions of this Agreement. Upon final rejection of a Deliverable, the Contractor shall refund all fees paid by the City for that Deliverable. For Deliverables consisting of multiple components or phases, rejection and refund obligations apply only to non-conforming components or phases, unless the non-conforming portions render the entire Deliverable unusable for its intended purpose.

7.3. **Quality Assurance**: The Contractor shall provide and maintain a quality assurance program acceptable to the City for all Deliverables under this Agreement. The Contractor shall deliver only Deliverables that have been inspected and verified to conform to the applicable specifications. Delivery of any Deliverable constitutes the Contractor's certification of conformance with specifications. The Contractor shall make quality assurance records available to the City upon request.

8. WARRANTIES AND REPRESENTATIONS

8.1. **Performance Warranty**: The Contractor warrants that all Deliverables shall: (i) conform to the applicable Specifications; (ii) be free from material defects in materials and workmanship; and (iii) perform in accordance with the functionality described in this Agreement. This warranty applies for the longer of: (a) one (1) year following Acceptance or, if earlier, the City's first production use of the Deliverable; or (b) the duration of any subscription or maintenance period. Any corrected or replacement Deliverable shall be subject to the same acceptance and warranty requirements as the original Deliverable, with the warranty period commencing upon delivery of the corrected or replacement Work. Acceptance or payment does not waive any warranty rights.

8.2. **Services Warranty**: The Contractor warrants that all Services shall be performed in a professional and workmanlike manner consistent with industry standards. If any Services fail to meet this warranty, the Contractor shall, at its expense and at the City's election, either re-perform the Services or refund all fees paid for the nonconforming Services.

8.3. **Third-Party Warranties and Indemnities**: The Contractor shall assign to the City all third-party warranties and indemnities related to the Deliverables, to the extent assignable. For non-assignable warranties, the Contractor shall enforce them on the City's behalf at the City's request. The Contractor shall provide the City with copies of all applicable third-party warranty terms upon request.

8.4. Intellectual Property Warranty: The Contractor represents and warrants that: (i) it owns or holds valid licenses to all Deliverables provided under this Agreement and has full authority to grant the rights specified in the Agreement; (ii) the Work, the Deliverables, and any intellectual property used or delivered in connection with this Agreement, and the City's use of any of the foregoing in accordance with this Agreement, do not and will not infringe any patent, copyright, trademark, trade secret, or other intellectual property right of any third party; and (iii) there are no pending or threatened claims, lawsuits, or actions alleging any such infringement or that would adversely affect the Contractor's ability to perform under this Agreement.

8.5. Disabling Code Warranty: The Contractor warrants that the Deliverables do not and will not contain any malicious code, including without limitation viruses, worms, trojans, ransomware, backdoors, time bombs, logic bombs, or other code designed to damage, disrupt, disable, harm, or impede operation of any systems or data ("Disabling Code"). If Disabling Code is identified in the Deliverables, the Contractor shall, at no cost to the City: (i) immediately contain and remove the Disabling Code; (ii) restore or reconstruct any City Data or systems affected by the Disabling Code; and (iii) provide the City with a corrected version of the Deliverable and re-implement as necessary.

9. PAYMENT CARD INDUSTRY DATA SECURITY STANDARD COMPLIANCE

9.1. Application and Scope: This Section applies if the Contractor processes, stores, transmits, or has access to cardholder data on behalf of the City. The Contractor must comply with the current version of the Payment Card Industry Data Security Standard (PCI DSS) and all applicable card brand security programs.

9.2. Compliance Requirements

9.2.1. The Contractor shall maintain compliance with PCI DSS and all applicable card brand security requirements, including PA-DSS where applicable to payment applications. The Contractor shall ensure that all hardware, software, and systems used under this Agreement are PCI DSS compliant and deployed on networks that meet PCI standards.

9.2.2. The Contractor shall ensure that all Subcontractors and service providers with access to cardholder data maintain PCI DSS compliance. The Contractor shall demonstrate compliance by providing the City with: (i) an annual Attestation of Compliance (AOC); and (ii) verification of compliance for all system components that process or interact with cardholder data.

9.2.3. If the Contractor's processing, storage, or transmission of cardholder data affects the City's PCI compliance scope, the Contractor shall provide a PCI Responsibility Matrix as an exhibit to this Agreement, identifying responsibility allocation for each PCI control requirement.

9.3. Data Retention and Breach Notification: The Contractor shall not retain card security codes or other sensitive authentication data prohibited by PCI DSS following transaction authorization. The Contractor shall not disclose cardholder information except as necessary to process transactions. Any compromise of cardholder

data constitutes a Security Breach under this Agreement. The Contractor shall bear all costs of notifying affected individuals and entities as required by law or card brand rules.

9.4. **Audit Cooperation**: The Contractor shall cooperate with any card brand or payment processor audits related to data security events under this Agreement. If a City audit determines that a data loss is attributable to the Contractor, the Contractor shall reimburse the City's reasonable audit costs, including attorney's fees. No City audit or approval relieves the Contractor of its obligations under this Section.

9.5. **Contractor Responsibility**: The Contractor is solely responsible for its PCI DSS compliance and the compliance of all Subcontractors and service providers performing under this Agreement. The Contractor remains liable to the City for any PCI DSS non-compliance by its Subcontractors or service providers.

9.6. **PCI-Related Indemnification**: In addition to the Contractor's other indemnification obligations under the Agreement, the Contractor shall defend, indemnify, and hold harmless the City from all claims, damages, fines, penalties, and costs arising from or related to: (i) The Contractor's non-compliance with PCI DSS or card brand security requirements; (ii) Any compromise, Security Breach, or unauthorized disclosure of cardholder data in the Contractor's possession or control; and (iii) Card brand or processor assessments related to such non-compliance or data compromise, including costs of notifying affected individuals, replacing payment cards, and addressing fraudulent transactions. This obligation does not apply to the extent a claim, fine, penalty, or cost has been specifically determined by the trier of fact to have been caused by the sole negligence or willful misconduct of the City.

10. LICENSE AND USE AUDIT RIGHTS

10.1. **Applicability**: This Section applies to the extent the Contractor has granted the City any license or other limited permission to use the Contractor's intellectual property under this Agreement.

10.2. **Audit Request**: The Contractor may, no more than once per calendar year, request in writing that the City audit and certify its compliance with applicable license or use restrictions under this Agreement (an "Audit Request"). The Audit Request shall specify the period to be audited, which shall not overlap with any previously audited period. The City shall complete the audit and provide its certification ("Audit Certification") within ninety (90) days of receipt of the Audit Request.

10.3. **Overuse and Remediation**: If the Audit Certification reveals that the City's use exceeded the applicable license or use restrictions ("Overuse"), the Contractor shall provide written notice identifying the specific Overuse and any additional licenses, maintenance, or services required to bring the City into compliance. The City shall have sixty (60) days from receipt of such notice to cure the Overuse by either: (i) reducing its use to conform with the applicable restrictions; or (ii) purchasing additional licenses or services at the rates specified in this Agreement. The Contractor shall not impose retroactive fees, penalties, or assessments for any period preceding the Audit Request.

10.4. **Audit Protections**: The following protections apply to any audit conducted under this Section: (i) Any dispute regarding the results of an Audit Certification shall be resolved through the dispute resolution procedures of the Agreement; (ii) The Contractor shall treat all Audit Certifications and related communications as Confidential Information of the City; (iii) The Contractor shall not suspend, terminate, or degrade the City's access to the Deliverables or Services based on an audit finding until the cure period in this Section has expired without cure; and (iv) The City may satisfy its audit obligations through electronic usage reports, system-generated license utilization data, or other remote verification methods, provided such methods reasonably demonstrate the City's compliance with the applicable restrictions.

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